

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

COMPLAINANT,

v.

SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY KNOWN
AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEM LTD.

RESPONDENTS.

REPLY IN FURTHER SUPPORT OF
MOTION TO DISMISS
OF RESPONDENTS SERVICE BY AIR, INC.
AND RADIANT CUSTOMS SERVICES INC.

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I. INTRODUCTION

CMI's opposition fails to demonstrate under FRCP 12(b)(1) that the Commission has subject matter jurisdiction, or that CMI has stated a claim for which relief may be granted under FRCP 12(b)(6). Conclusive evidence proves that neither SBA nor Radiant issued a bill of lading for any of the subject transportation, or otherwise "held itself out as an NVOCC." The demurrage charges at issue were levied by, and paid to, motor carrier Freight Tech for land-based storage long after all ocean transportation had been completed. Thus, even if one or both Respondents were an NVOCC, CMI's tardy retrieval of its cargo, Freight Tech's charging of demurrage, and SBA's invoicing CMI to recoup the demurrage charges SBA paid all took place long after any purported NVOCC activities had been completed.

This reply is filed on July 19, 2017, eight days after CMI filed its opposition, by agreement of counsel. Due to a clerical error by the office of CMI's counsel, Respondents did not receive service of the opposition.

II. ARGUMENT

A) The Commission may consider the current motion and documentation submitted with it

CMI seeks to delay proceedings to undertake discovery it claims is needed before the Commission's subject matter jurisdiction may be determined (based on "intertwined" jurisdictional and substantive issues), as well as to obtain documents CMI's own Complaint relies on to substantiate that it facially states a claim. Specifically, it urges that "documentation establishing CMI's claims are primarily in the hands of the Movants,"¹ such that discovery is needed to establish jurisdiction and the basis of a claim. CMI is mistaken.

CMI might reasonably request discovery before the Commission could rule on the substance of its claims, e.g., whether the demurrage it paid was improperly excessive. However, discovery is not needed to establish the Commission's subject matter jurisdiction under the Shipping Act, or whether CMI's Complaint, including documentation it identifies and relies on,

¹ Opposition at 2.

states a viable claim. Documentation demonstrating how SBA purportedly acted and held itself out to CMI as an NVOCC, if such documentation existed, would inherently already be in CMI's possession. These issues are not "intertwined" with factual issues that might pertain to the substance of CMI's claim if it is later ruled that the Shipping Act confers subject matter jurisdiction.

CMI also protests Respondents' submission of evidence with its motion. Again, consistent with federal courts, the Commission has ruled that it "... may consider 'documents attached to the complaint as an exhibit or incorporated in it by reference, . . . matters of which judicial notice may be taken, or . . . documents either in plaintiffs' possession or of which plaintiffs had knowledge and relied on in bringing suit.'"² As SBA's purported issuance of bills of lading is a threshold requirement for CMI to invoke Commission jurisdiction, and its Complaint references such purported bills of lading, consideration of evidence concerning them is proper. This includes rebuttal evidence submitted herewith, again, as evidence may be submitted at any time for a determination of subject matter jurisdiction as provided by FRCP 12(b)(1). CMI's precedent, *Zak v. Chelsea Therapeutics Intern., Ltd.*, is distinguishable because, there, the trial court improperly considered "...SEC documents submitted by the defendants that were not integral to the complaint."³ Here, documentation pertaining to SBA's purported issuance of bill of lading documentation clearly is integral.

B) Allegation that SBA was an NVOCC

CMI goes to great lengths to argue that an entity need not issue a bill of lading to be established and liable as a common carrier,⁴ and that "no single factor of an entity's operation is determinative of its status."⁵ Notably, CMI's cited precedents pertain to VOCCs which take operational action that can demonstrate their status apart from issuance of a bill of lading.

² *Edaf Antillas*, 2014 WL 5824274, at 6 (F.M.C., 14-04); *see also Lee v. City of Los Angeles*, 250 F.3d 668, 688 (9th Cir. 2001).

³ 780 F.3d 597, 606 (4th Cir. 2015), cited in the Opposition at 7.

⁴ Opposition at 10, fn 3, and 14-15.

⁵ *Id.* at 14.

As stated in Respondents' opening brief, *the sole basis* on which CMI rests its case that SBA acted as an NVOCC, and "held itself out as an NVOCC," is that "[a]lthough the Shipments moved by ocean, rather than by air, Service by Air issued airway bills for the Shipments." Solely on this basis, CMI alleges in its Complaint that "[i]n issuing bills of lading for the ocean transportation at issue, Service by Air was acting as an NVOCC"; and that "Service by Air held itself out as an NVOCC." As CMI does not allege, much less substantiate, any other basis for its assertion that SBA acted and held itself out as an NVOCC, it must come forward with functional SBA house bills of lading to establish the Commission's jurisdiction. CMI makes no argument, for example, that SBA's website identifies it as NVOCC, and points to no communication from SBA by which it could reasonably infer it had engaged SBA for NVOCC services.

Thus, absent a demonstration that SBA issued the purported "air waybills" as functional shipping documentation for transportation of the subject cargo, CMI has failed to state a claim for which relief may be granted, and there is no threshold demonstration of the Commission's subject matter jurisdiction under the Shipping Act.

C) SBA did not issue any ocean bill of lading or other shipping documentation

CMI submits with the Declaration of Maria T. Vega (the "Vega Declaration") nine "air waybills," some of which are illegible or blank, which it claims demonstrate SBA "issued" for the subject shipments, and on that basis alone, that SBA purportedly operated and "held itself out as" an NVOCC. This is demonstrably inaccurate.

CMI's "air waybill" documents were not "issued" as functional bills of lading as contemplated by 46 USC §30703, and did not serve the purpose of an NVOCC house bill or any other shipping documentation. As the U.S. Court of Appeals for the Fifth Circuit has held:

Admiralty law teaches that bills of lading may serve multiple functions. "A bill of lading is, in the first instance and most simply, an acknowledgment by a carrier that it has received goods for shipment. Secondly, the bill is a contract of carriage. Thirdly, if the bill is negotiated ... it controls possession of the goods

and is one of the indispensable documents in financing the movement of commodities and merchandise throughout the world.”⁶

The U.S. Court of Appeals for the Seventh Circuit has further elaborated on the bill of lading’s function as follows:

A bill of lading can serve many functions. Most fundamentally, it is an acknowledgment of the receipt for goods. [citations omitted] But it can also be evidence of title, or more importantly, serve as evidence of a contract of carriage. *Id.* “The bill of lading is the basic transportation contract between the shipper-consignor and the carrier; its terms and conditions bind the shipper and all connecting carriers.” [citations omitted] “Contracts for carriage of goods by sea must be construed like any other contracts: by their terms and consistent with the intent of the parties.” [citations omitted]...⁷

The produced “air waybills” served none of these purposes, and were never “issued” as shipping documentation at all. Rather, SBA generated these documents for recordkeeping purposes to memorialize information pertinent to the services encompassed by its invoices to CMI. As SBA operates in the intermediary context exclusively as an indirect air carrier, it is not surprising that it employed this recordkeeping mechanism. Its standard practice is to record information needed for billing purposes on its form document which *may* also be issued to shippers at the time of cargo tender as functional air waybills. However, the documents CMI produces were never issued to CMI as part of the shipping documentation process, and did not serve as NVOCC house bills. Second Affidavit of Edward A. Zasada (the “Second Zasada Declaration”).

⁶ *Cargill Ferrous Intern. v. SEA PHOENIX MV*, 325 F.3d 695, 702 (5th Cir. 2003), citing Grant Gilmore & Charles L. Black, *The Law of Admiralty*, 93 (2d ed., 1975); and Schoenbaum, 59 (stating three potential functions of a bill of lading are as receipt, contract of carriage, and document of title).

⁷ *Kawasaki Kisen Kaisha, Ltd. v. Plano Molding Co.*, 696 F.3d 647, 652 (7th Cir. 2012), citing *Cargill Ferrous Intern. v. SEA PHOENIX MV*, 325 F.3d 695, 703 (5th Cir. 2003); *S. Pac. Transp. Co. v. Commercial Metals Co.*, 456 U.S. 336, 342, 102 S.Ct. 1815, 72 L.Ed.2d 114 (1982); *C.A.R. Transp. Brokerage Co. v. Darden Rests., Inc.*, 213 F.3d 474, 478–79 (9th Cir.2000); and *Norfolk S. Ry. Co. v. Kirby*, 543 U.S. 14, 31, 125 S.Ct. 385, 160 L.Ed.2d 283 (2004).

The Vega Declaration makes no statement to the contrary. It does not state how, when, or for what purpose CMI received or put to use the air waybills, or why it has only nine examples for 62 shipments. The mere existence of unauthenticated papers containing the term “air waybill” that contain certain shipment data is insufficient to establish that SBA “issued” them as functional bills of lading governing the subject shipments.

Attached as Exhibit 2 to the Second Zasada Declaration are copies of 58 CBP Forms 3461 documenting entry/immediate delivery of the 62 shipments Respondents processed for CMI, and which are the subject of this proceeding. Notably, 18 of these CBP Forms 3461,⁸ or 31% of the total, document entries transported by the Canadian National Railroad into the U.S. after ocean carriage originated in China and terminated in Canadian ports. These could not possibly be the subject of NVOCC activities into the U.S. over which the Commission might assert jurisdiction. Moreover, the CBP Forms 3461 demonstrate that after ocean carriage was completed, *all* shipments were transported from seaports to inland distribution centers by railroads where they were stored pending Freight Tech’s delivery.

Each CBP Form 3461 specifies the SCAC codes of ocean carriers which issued house or master bills of lading. In instances wherein China-based intermediaries issued house bills, the CBP Forms 3461 specify the house bill number in Box 21 after the letter “H.”⁹ Had SBA issued a house bill for any of the subject transports, its SCAC code “SVBA” would appear before the bill of lading number appearing after letter “H” on the shipment’s corresponding CBP Form 3461. None do, and none of the designated house bill numbers conform to numbers stated on the air waybills CMI submits.

⁸ Bate Stamp numbered Zasada001, 003, 004, 013, 014, 015, 017, 018, 023, 024, 026, 029, 031, 036, 038, 044, 053 and 054.

⁹ Letter “M” specifies the ocean carrier’s “Master Bill,” and the letter “I” specifies “In-bond.”

This proves conclusively that SBA issued no functional bill of lading documentation – air waybill or otherwise – that documented transportation of any of CMI’s cargo.

D) Even if SBA acted or held itself out as an NVOCC, the demurrage charges were not incurred as part of regulated NVOCC activity under the Shipping Act

CMI attempts to classify SBA’s activities in collecting from CMI demurrage charged by surface transportation service providers for land-based storage as unreasonable practices which violate the Shipping Act. This argument fails because the demurrage was not incurred during the ocean transportation process.¹⁰ Even if SBA and/or Radiant could be demonstrated to have operated as an NVOCC by issuing purported bills of lading, such demonstration would not render each and every service they provided at any time regulated ocean transportation services. By the time the demurrage charges had accrued, Respondents’ status as an ocean common carrier would long since have concluded, and its subsequent services would have been limited to land-based distribution after all legs of the international transportation had been completed.

CMI’s liability theory derives solely from 46 U.S.C. § 41102(c),¹¹ which provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” However, Respondents never received, handled, stored or delivered any of CMI’s property, and indeed never came into contact with it at any time,¹² and even if they had, they would have done so purely in post-ocean carriage, post-rail carriage, post-distribution warehouse storage contexts, which is too remote from any ocean transportation activity to fall within Shipping Act jurisdiction.

¹⁰ CMI asserts that Respondents made “contemporaneous representations that the charges were demurrage charges being assessed by steamship lines.” Opposition at 14. This wholly unsubstantiated assertion of fact is false, and should not be considered herein. Second Zasada Declaration.

¹¹ The other Shipping Act sections CMI claims Respondents violated address licensing and tariff requirements. However, even if accurate, CMI would not be entitled to recover any additional damages based on them.

¹² Second Zasada Declaration.

An entity's administration of a separate, land-based logistics service provider's (i.e., Freight Tech's) activities is not NVOCC activity which the Shipping Act governs or the Commission regulates. As the Commission has ruled:

These factors suggest that Int'l TLC may have acted, at most, as a freight forwarder, as Complainants have not produced evidence that Int'l TLC was holding out or assuming responsibility as would be expected from an NVOCC. Rather than assuming responsibility for the entire shipment and issuing bills of lading, Int'l TLC was, at most, facilitating the shipments. However, unlike the traditional situation where a freight forwarder handles all preliminary arrangements, here, the Complainants handled a number of traditionally freight forwarding activities themselves including purchase, loading of containers, transportation of containers to the port, and arranging transportation from Poland to the Ukraine.¹³

Similarly, the Commission agreed with the Port of Long Beach's argument that Shipping Act jurisdiction did not lie when "... the charges are not related to the handling, storage or delivery of cargo, and do not involve services or activity at or adjacent to a marine terminal but merely on property owned by the Port," and further agreed "with the ALJ's conclusion that the Port's charge against the railroads for use of the municipal tracks on Port property not specifically connected with the loading or unloading of cargo, or positioning of railcars for loading and unloading, at a marine terminal within the Port is too remote to invoke the Commission's subject matter jurisdiction under the Shipping Act."¹⁴

That the demurrage charges at issue are outside Commission jurisdiction is reflected by the few instances in which it has held OTIs to be in violation of 46 U.S.C. § 41102(c), which recently were summarized in an agency ruling¹⁵ as follows (internal citations omitted):

...(non-vessel-operating common carrier (NVOCC) failure to pay the destination agent monies already received by the NVOCC for such services was held a violation of section 10(d)(1) by "failing to engage in just and reasonable practices");

¹³ *Yakov Kobel and Victor Berkovich v. Hapag-Lloyd A.G., Hapag-Lloyd America, Inc., Limco Logistics, Inc., and International TLC, Inc.*, 2012 WL 11914695, at 30 (F.M.C., 10-06).

¹⁴ *Southern Pacific Transportation Company and The Atchison, Topeka and Santa Fe Railway Company v. Port of Long Beach*, 1996 WL 508744, at 1 and 3 (F.M.C., 96-09).

¹⁵ *Smart Garments, Complainant, v. Worldlink Logix Services, Inc., Respondent*, 2013 WL 9808693, at 3 (F.M.C., 10-11).

... (NVOCC held to have violated section 10(d)(1) with respect to a single shipment when it refused to release the cargo at the destination port unless additional money was paid, and instructed its agent to place the shipment on hold);

... (NVOCC's failure to carry out its obligation to transport the cargo or to return the money despite repeated demands was held a violation of section 10(d)(1) as it showed "a failure to establish, observe and enforce just and reasonable regulations and practices");

... (freight forwarder held to have violated section 10(d)(1) by failing to establish, observe and enforce just and reasonable practices with respect to two shipments when the freight forwarder prepared incorrect booking notes and dock receipts, and issued an altered bill of lading containing false information); and

... (NVOCC failed to establish, observe, and enforce just and reasonable regulations and practices in violation of section 10(d)(1) when the NVOCC unreasonably aborted a shipment, notwithstanding the fact that it had issued an on-board bill of lading, thereby allowing a misleading shipping document to go forward in the shipping process).

All of these instances involved ocean shipping activities within an NVOCC's function as an ocean common carrier, and not as to subsequent or tangential services that took place after ocean transportation, and indeed connecting inland transportation, had concluded.

E) SBA did not participate in ocean transportation

Respondents respond to several points CMI raises seeking to implicate them as participants in ocean transportation.

CMI points out that "SBA Consolidators was a licensed OTI and had a tariff on file with the FMC."¹⁶ True, but SBA Consolidator's license was only as an ocean freight forwarder. That fact does not suggest, much less confirm, that SBA Consolidators played a role as an ocean freight forwarder in the subject transactions, and certainly does not confirm it was an NVOCC. Again, the Shipping Act does not govern inbound ocean freight forwarding services even if SBA Consolidators did provide them here.

¹⁶ Opposition at 4.

Contrary to CMI's implication,¹⁷ SBA did not contract, in the capacity of an ocean transportation service provider, with LAS Freight. Acting as CMI's agent, SBA merely requested that LAS engage China-based intermediaries which, in turn, booked transit with steamship lines in a manner similar to that of U.S. NVOCCs. Such activity does not equate to participation in ocean transportation as an OTI or other service provider. At most, it would be ocean freight forwarding activity for inbound cargo to which the Shipping Act does not apply.

CMI reiterates allegations in its complaint that Respondents had no tariff on file with the Commission permitting recovery of demurrage, and that the charges exceeded demurrage properly assessed by VOCCs. These points are irrelevant, as SBA did not "assess" CMI demurrage; rather, in accordance with the parties' agreement, it merely paid and recouped from CMI charges¹⁸ levied by surface transportation providers. No VOCC demurrage was ever charged or collected.

Contrary to CMI's assertion,¹⁹ the fact that bills of lading issued by other service providers govern through transportation does not connote subject matter jurisdiction over Respondents. Even if SBA had issued through bills of lading, its activity related to ground-based services that took place after the final destination stated on them would no longer be subject to Commission jurisdiction.

¹⁷ *Id.* at 13.

¹⁸ SBA did assess CMI reasonable administrative charges for the demurrage.

¹⁹ Opposition at 14.

Lastly, SBA's billing practices do not connote NVOCC activity. CMI urges that SBA's invoices suggest that SBA "fraudulently" billed for higher air transportation when ocean transportation was effected.²⁰ While this allegation is false,²¹ even if true, the mere fact SBA issued an erroneous invoice would not establish SBA as an NVOCC and confer Shipping Act jurisdiction. Again, even if SBA could be shown to have operated as an ocean freight forwarder in issuing an invoice, the Shipping Act would not govern it with respect to an inbound transit.

III. CONCLUSION

CMI bases its allegation that Respondents operated and held themselves out as an NVOCC solely on their purported issuance of bills of lading. Documents referenced and relied upon by CMI's Complaint clearly refute this. Accordingly, the Commission does not have subject matter jurisdiction.

In any event, the demurrage at issue was assessed and charged long after ocean transportation, or even through inland transportation, was completed. For this reason as well, the Shipping Act does not apply.

Accordingly, CMI's action fails on the face of its Complaint, and should be dismissed.

Respectfully submitted,



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July 19, 2017

²⁰ *Id.* at 2, fn 1.

²¹ Second Zasada Declaration. A few of the transports SBA administered were undertaken by air at CMI's request.

CERTIFICATE OF SERVICE

The undersigned certifies under penalty of perjury under the laws of the State of Washington that I am now and at all times herein mentioned, a resident of the State of Washington, over the age of eighteen years, not a party to or interested in the above-entitled action, and competent to be a witness herein.

On the date given below, I caused to be delivered upon the designated party below in the manner indicated, true and correct copies of the following documents filed in the case:

1. Reply in Further Support of Motion to Dismiss of Respondents Service by Air, Inc. and Radiant Customs Services Inc.;
3. Second Affidavit of Edward A. Zasada in Support of Motion to Dismiss of Respondents Service by Air, Inc. and Radiant Custom Services, Inc.

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I declare under penalty of perjury under the laws of the state of Washington that the foregoing is true and correct.

Executed at Seattle, Washington, this 19th day of July, 2017.



Michelle Stark